You are the audit senior on the audit of Llama Glama ('Glama'), a charitable company, and you are planning substantive testing over the operational staff payroll on Glama's financial statements to 30 June 20X1. A colleague is designing separate procedures for other payroll expenses. Your audit manager has reminded you not to design standard tests or analytical procedures, as these will be generated automatically by your audit software.

Glama is a national charity, founded 20 years ago, which operates several animal sanctuaries. Originally Glama only offered sanctuary to llamas, but a wealthy supporter of the charity argued strongly for also helping alpacas, which have similar care needs. On their death, this supporter left investment assets to Glama in their will, on the legally binding condition that the income generated by the investments be placed in a 'restricted fund' and used solely for the care of alpacas.

The costs of alpaca care are thus met solely by this restricted fund. The costs of llama care are met solely from Glama's general (unrestricted) fund. Your manager has stressed the importance of this arrangement, as these two funds are accounted for separately in Glama's financial statements.

Glama meets this accounting requirement by having separate areas at each sanctuary for each species and recording expenses, such as supplies and payroll, under different account codes. Operational staff care for both llamas and alpacas but complete timesheets, recording how they spent their time between the two groups of animals. These timesheets are authorised by managers and then used by Glama's bookkeeper to prepare a weekly payroll on a computerised payroll system.

The payroll system initially debits the unrestricted fund on the computerised general ledger, but the bookkeeper then posts a weekly journal to reclassify some of this expense to the restricted fund, based on a manual analysis of the proportion of time spent on alpacas.

The bookkeeper performs a payroll reconciliation as part of the year-end accounting process. Separate personnel records are maintained by a volunteer with HR experience, with all paid staff having a written contract.

The trustees seem to be well-meaning and enthusiastic but lacking in recent business experience. There is no finance committee and only very high-level board oversight of financial performance

Required

List procedures to substantively test the operational staff payroll at Glama for the year ending 30 June 20X1

22 marks